

Webinar: Oil, Iran and the markets: what happens next?

Join ING's economists and strategists for a live webinar on 15 May, looking at the scenarios for energy prices and the impact across the global economy and financial markets. [Sign up here](#)



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Ten weeks on from the start of the Iran war and energy markets remain in limbo. Traffic through the Strait of Hormuz shows little sign of recovery. Will this week's meeting between Presidents Trump and Xi see a breakthrough? And just how far could oil prices fall if diplomacy succeeds – and rise if it doesn't?

[Join ING's economists and strategists for a live webinar](#) looking at the scenarios for energy prices and the impact across the global economy and financial markets.

You'll learn:

- Where oil and natural gas prices head under different Middle East scenarios

- How fragile the supply picture really is – and what oil futures tell us about investor expectations
- Whether the Federal Reserve can really hike rates this year and what Chair Kevin Warsh could mean for the interest rate outlook
- The outlook for EUR/USD and the main drivers of FX markets right now
- Why credit spreads have stayed tight and whether supply conditions are improving for issuers

This webinar will follow the publication of the latest ING Monthly, complete with updated forecasts and analysis of the major economies

Details

Date: Friday 15 May

Time: 0930 BST/1030 CEST

The webinar will last 45 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

Speakers

- **Warren Patterson** (Head of Commodities Strategy)
- **James Knightley** (Chief International Economist, US)
- **Chris Turner** (Global Head of Markets and Regional Head of Research for UK & CEE)
- **Timothy Rahill** (Credit Strategist, ING)
- Hosted by **Rebecca Byrne** (Deputy Global Head of Editorial)

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Rates: The hidden force pushing gilt yields to record highs

The 10Y gilt yield hit new highs on the back of inflation and political risks, but investors should not ignore the role of the Bank of England's QT in this. We estimate the 2s10s GBP curve steepened by 60bp more than the USD curve due to the increased gilt supply and the divergence can continue. This could also be a lesson for Warsh who may look to walk a similar path



The Bank of England, London. The central bank's quantitative tightening is adding to the upward pressure on gilt yields

Global factors add to GBP term premium, but not entire story

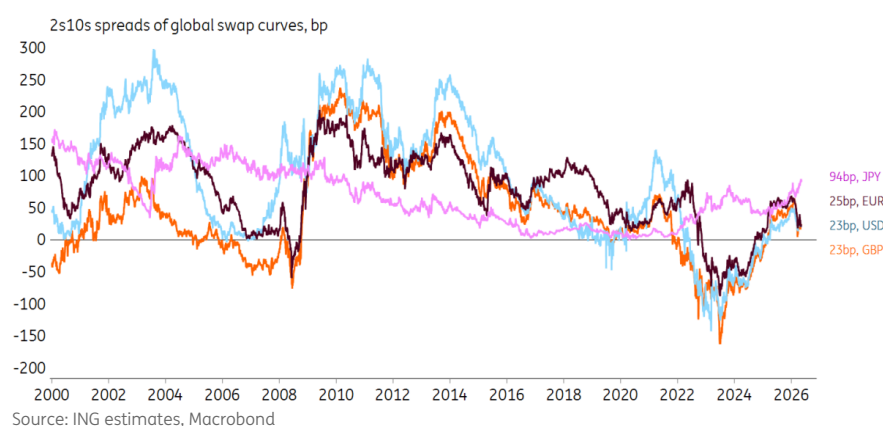
The 10Y gilt yield has hit its highest level since 2008, and whilst the near-term focus remains on oil prices and politics, the Bank of England's balance sheet unwind poses further upside risk. And with the discussion about quantitative tightening (QT) flaring up again in the US under new Fed leadership, markets can learn from the potential impact on US rates by looking at the UK.

Sterling rates are relatively sensitive to global market moves, and the spillovers from the US term premium play an especially important role. Between 2023 and today, the correlation of weekly changes in the 2s10s of the GBP curve and the US curve has been a significant 0.6. If we take the 2s10s term spread as a rough proxy of the term premium, both seem to be similar at first sight.

The market optimism in US equity markets helps the US curve steepen again and also adds to the upward pressure on gilt yields.

Japan's curve shows a very different picture, and therefore we cannot simply assume a single global factor explains all term premia. For one, Japan's economy has followed a very different path compared to other countries, experiencing stagflation for prolonged periods of time. Second, and of more importance to our analysis, is the fact that the Bank of Japan has intervened significantly more in the rates market through balance sheet policy than other central banks.

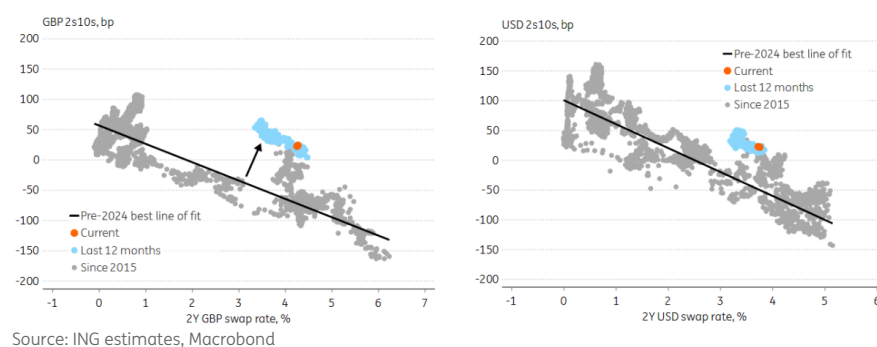
Global term premia are strongly correlated but domestic factors play a role too



Besides a global factor, the term spread is also driven by the business cycle. When a central bank hikes rates, curves tend to flatten, and vice versa. These moves seem more pronounced than purely explained by changes in the expected policy rates. As such, the 2Y rate is arguably an important ingredient for the term premium.

And indeed, when looking over the past decade, the 2Y and the 2s10s show a strong negative correlation. The interesting observation here is that the term premium of the GBP curves seems to have increased disproportionately to the change in 2Y rates. This effect is also visible for the USD curve, but to a much lesser extent.

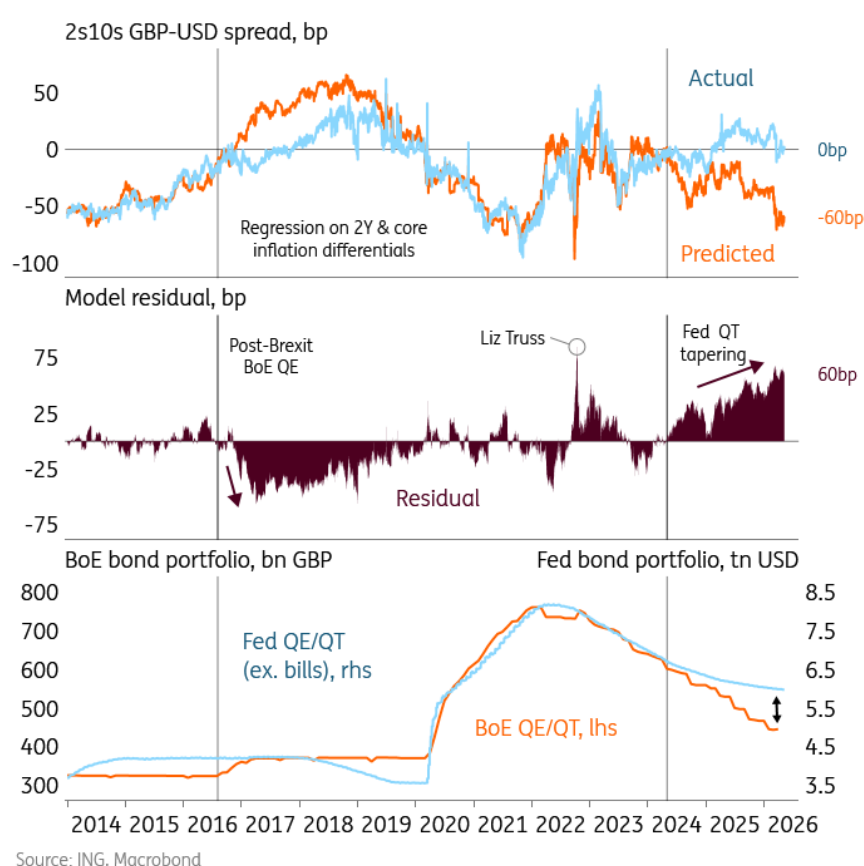
When accounting for 2Y dynamics, the GBP curve recently steepened more than the USD curve



We explore the divergence by looking at the spread differential of the 2s10s between the GBP and USD curve. Besides the 2Y spread differential, we add relative inflation to the model, which greatly improves the fit when used in conjunction with 2Y rates. Inflation differentials capture changing macro regimes and can help explain the term premium investors demand for holding longer dated bonds.

Our three variable regression model (Fig 3) captures 83% of the variation in the difference between the 2s10s of the GBP and USD curve, whereby especially the residuals are of interest. We can easily identify three events that explain the deviation from our model, namely 1) QE by the Bank of England starting in 2016, 2) the Liz Truss moment in 2022 and 3) the Fed's tapering of QT in 2024. Outside of these periods the residual is close to zero, suggesting we are not missing any important variables.

QT seems to play a part in explaining a 60bp steeper GBP 2s10s curve

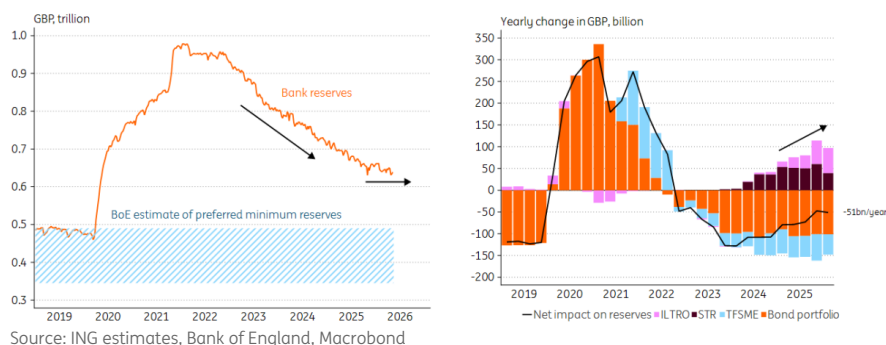


Whilst the Fed announced a significant tapering of QT in May 2024, the pace of QT has remained much higher in the UK, helping explain the residual in our model. The Bank of England is continuing with active sales, bringing the wind-down to a significant £70bn per year. In terms of numbers, the 2s10s GBP curve is now some 60bp steeper since this divergence in monetary policy.

The Fed faced reserve constraints, forcing it to slow QT, but the Bank of England does not have this problem, allowing QT to continue. Even though shrinking the bond book has extracted reserves

from the banking system, a significant uptake of the Short Term Repo (STR) and Indexed Long-Term Repo (ILTR) have managed to stabilise reserves. In effect, the market stress in US repo markets never showed up in sterling markets.

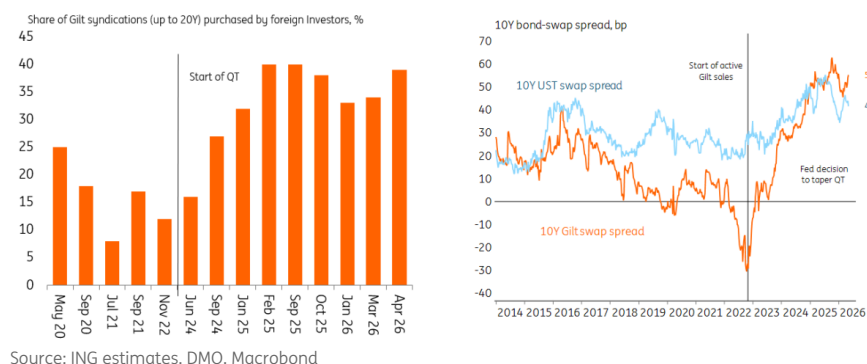
Significant pickup in BoE liquidity facilities are preventing reserves from falling, allow QT to continue



With money markets seemingly stable, in theory, the Bank of England can continue unwinding the gilt portfolio, albeit at the expense of higher government borrowing costs. An August report from the Bank of England suggested that QT had an impact of 15-25bp as of then on longer-dated rates. But when you also include the changes in swap spreads, our estimate of the impact from QT on gilt yields is significantly higher. Since the start of QT, the 10Y Gilt-swap spread rose more than 80bp, adding to the steeper swap curve.

With more gilt supply continuing to hit the market, including significant government issuance, investors may demand higher yields to be lured in. Already we see that gilt auctions have started to rely more on foreign demand to clear since the start of QT in 2023. Before 2023, the foreign uptake of gilt syndications up to 20Y was just 10%. This increased to over 25% after the start of QT. Foreign investors tend to be more price sensitive compared to domestic players such as banks, pension funds and insurance funds. Domestic players are more likely to buy gilts for reasons like liquidity and hedging regulation.

Since QT, gilt markets have relied on more price-sensitive foreign investors, helping push up 10Y gilt yields



So while we continue to see a rising term premium for the UK, we think a dovish repricing of policy rates should start bringing down the curve. But the scope for lower 10Y gilt yields is limited. We identify 4.5% as a realistic fair value in 2027. We believe the dynamics in the UK serve as a good lesson for Fed policy too. If new Chair Kevin Warsh manages to follow up with his plans to unwind the Fed's bond portfolio at an accelerated pace, then the US curve should see more steepening.

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Rates Spark: Hard to see a ceiling for gilt yields

Gilt yields can continue to rise, not just because of political risks, but also on the back of the [Bank of England's quantitative tightening](#). Meanwhile, US Treasuries continue to feel pain from the never-ending shuttering of the Strait, with April CPI data already high, and set to rise further in the coming months. Not great for core bonds generally



Rates in the US (higher inflation) and the UK (political angst) continue to drift upwards

Politics are adding to the long list of bearish gilt forces

Gilt yields continue to rise on the back of the political turmoil around Labour's leadership and yields can still push higher. The fear is that a new prime minister would have a looser hand when it comes to fiscal policy. If this is the case, then increased near-term government spending would make further Bank of England easing even less likely whilst adding to the issuance of government bonds.

Besides political and inflation risks, we also identify increasing gilt supply as [a slow-moving force pushing up yields](#). Whereas the Fed has significantly reduced the pace of quantitative easing, the Bank of England still reduces its bond portfolio by around £70bn per year. We estimate that this has steepened the GBP swap curve by some 60bp more relative to the USD curve. And with bank reserves stabilised, the Bank of England does not necessarily need to taper quantitative tightening on the back of financial stability concerns.

For gilt yields to make a material push lower, we would first need to see inflation risks come down. Higher oil prices are the main culprit, but the additional political risks make the picture even more complex. So, unless oil makes a significant move lower – which we're sceptical about even if a deal were to be found in the near term – then gilt yields are likely to remain higher for the time being.

US inflation added to the pain for Treasuries

Tuesday saw headline US CPI inflation come in at 3.8% year-on-year for April. It was 2.4% before the war. That's a 140bp uplift, and it's not done. As it is, we're set to hit 4% in May. Core hits 3% down the line. A persistence to the war and we risk adding to that. Getting to 5% inflation is quite probable if it goes on and on. From here, we likely have another week of waiting and watching the war given the China summit distraction, with the Strait remaining shut tight. All the while, Treasury yields are pressured higher.

The 10yr, now at 4.45%, has 4.5% in its sights. And once there, it will meet buyers, as that's a level that flags a structural buy for many players. That said, it can just as easily sail on higher, especially as there is no easing in price pressures to help calm things down. The rise in yields post the CPI release was through higher inflation expectations and higher real yields, and there was also an edge higher in the swap spread. All quite tame so far. More re-pricing rather than outright selling.

But it risks getting less tame ahead. The Fed can't cut here. And risk assets are pushing the boundaries of positivity (or have been). It's a cocktail that Treasuries really should not feel comfortable with. Tuesday saw a 10yr auction test. There was a slight tail, which is never great, but no big issue. This, and the 30yr auction on Wednesday, are being helped by the concession built in the past couple of weeks (even if that concession is set to build further, in our view).

Wednesday's events and market views

In terms of data, we have second estimates of first quarter 2026 eurozone GDP growth, which earlier came in lower than expected at 0.1% quarter-on-quarter growth. The eurozone industrial production numbers from March are expected to come in lower, but still showing month-on-month growth when seasonally adjusted. From the US we have PPI numbers for April.

From the ECB we have Chief Economist Lane and President Lagarde speaking in the evening.

In terms of supply, Ireland plans a €2bn tap of its Green October 2043 bond via syndication. Italy will auction 3y, 7y and 12y BTPs for a total of €7.5bn. Portugal is set to auction 4y and 10y OTs for a total of €1.5bn. Germany will auction 21y and 28y Bunds totalling €2.5bn. The US will auction a new 30y bond for a total size of \$25bn.

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FX Daily: Impact of US CPI mostly depends on equities

We expect a hotter-than-consensus 0.9% MoM US headline CPI print today. That can endorse the hawkish momentum in the USD curve even if the core rises at a moderate 0.3% MoM. Upside for the dollar depends more on whether those figures – paired with the stall in US-Iran negotiations – finally take some shine off ultra-resilient equities



Another 0.9% MoM inflation jump is expected in the US, driven by rising gasoline and diesel prices

📈 USD: Another 0.9% MoM inflation jump

US CPI data for April is released today, and we forecast a second consecutive 0.9% MoM headline print, taking YoY inflation to 4.0%. This would be above the 0.6% MoM / 3.7% YoY consensus, although we are in line with expectations of a 0.3% MoM / 2.7% YoY core CPI print. The rebound in the headline will be driven primarily by gasoline and diesel prices, while a recovery in medical care and recreation prices should account for the 0.3% MoM acceleration in core.

That core figure is ultimately what matters most for the Fed. Still, it is probably too early to expect clear evidence of second round effects, and we suspect that a hotter than expected headline print could be sufficient to give the recent hawkish repricing in the USD swap curve some additional momentum. There is currently 7bp of Fed tightening in the curve by year-end.

The positive implications for the dollar, however, may depend more on the equity channel than on rates. Global risk sentiment has remained a more dominant driver than short term rate differentials and oil prices for several USD crosses, including EUR/USD. Good days for the greenback have generally coincided with bad days for equities of late. Let's see whether fears of a rate hike can prompt fresh stock valuation concerns.

That said, CPI is still likely to play second fiddle to any meaningful developments related to Iran. Recent days have underscored how far apart Iran and the US remain on key aspects of a nuclear deal. At the same time, markets have been reluctant to price a renewed escalation, despite Trump's claim yesterday that the ceasefire is "on life support" and further reports of military activity in the Strait of Hormuz. The longer this stalemate persists, the greater the upside risks for the USD, both in the near term and over the medium run – the latter via a more prolonged drag on the global economy, to which the dollar is typically negatively correlated.

Francesco Pesole

📉 EUR: ZEW to remain pessimistic

EUR/USD has continued to hold up well alongside risk sentiment despite growing pessimism about a resolution in the Gulf. But any meaningful equity correction would likely prove incompatible with current levels, even if ECB pricing remains more hawkish than the Fed's.

Today's eurozone calendar includes the ZEW surveys, which will give a first glimpse of sentiment in Germany in May. Consensus is looking at a further deterioration in both the expectations and current situation indices. These surveys can be hard to interpret in such a geopolitically volatile environment, but the message should be one of (predictable) worsening in the eurozone's growth outlook.

Our view of EUR/USD remains bearish-leaning unless we start to see tangible steps towards a US-Iran peace deal. A break above 1.180 hardly looks sustainable in this environment, and a retest of 1.170 looks more likely if anything.

Francesco Pesole

📉 GBP: More political premium can build

Pressure on UK Prime Minister Keir Starmer intensified further yesterday after the Home Secretary, Shabana Mahmood, joined more than 70 MPs in calling for his resignation. Betting markets are now pricing in a very high probability that Starmer will leave office this year, and investors are likely to interpret any forthcoming scheduled address by the Prime Minister as a potential resignation announcement.

The pound started coming under pressure yesterday afternoon (after a strong session) as calls for Starmer's resignation intensified. For the first time in a long time, some political risk premium seems to be emerging in EUR/GBP. That is, however, still small according to our model, around 0.3% short-term overvaluation.

The pound has plenty of additional room to build a negative premium, with markets likely to shift their focus to which candidate holds the best chance of replacing Starmer. Andy Burnham, Wes Streeting and Angela Rayner are considered the frontrunners. Notably, sterling came under pressure recently following reports that Burnham could seek a parliamentary seat to advance a

leadership bid, reflecting concerns that his views on abandoning the fiscal rule could undermine a key anchor of market confidence in UK public finances.

Francesco Pesole

➔ CZK: CNB may wait a long time with rate hikes

The Czech National Bank yesterday revealed details of its new forecast, and we heard more views from Deputy Governor Eva Zamrazilova. Of note from the forecast is an alternative scenario showing an economic slowdown if energy prices continue to rise, which the CNB forecasts would result in rate cuts of around 50bp, assuming oil prices above \$100/barrel in the first half of the year. In that case, the Czech economy would be heading somewhere towards a 1.0-2.0% growth range. Of course, the CNB is also showing alternative scenarios showing higher rates, but Governor Ales Michl mentioned this scenario during a press conference last week as one of the reasons not to raise rates for now.

The Deputy Governor also mentioned that she sees a low risk of policy mistakes if the CNB does not react, and the central bank can avoid hasty reactions. We also heard a repeated warning that the CNB will react if necessary, but overall, a dovish subtext can be seen in the current communication.

This goes significantly against market pricing, which yesterday returned to about three rate hikes in the one-year horizon, with the first rate hike at the August meeting. This is similar to Poland and more than the ECB at this point. However, the CNB is making it clear that it does not want to rush into action and wants to keep the rate where it is, which is already a restrictive environment compared to other central banks such as the ECB, where the real rate is negative, according to the bank board.

EUR/CZK returned to pre-conflict levels last week and we see little reason for further koruna appreciation in the current setup. Headline inflation in the coming months should fall compared to April due to the base effect from last year and some decline in fuel prices, which will allow the CNB to wait further. The rate differential should decrease, and the Czech economy is already showing significant signs of slowing. Therefore, pricing hikes seem excessive and at the same time, EUR/CZK, apart from global sentiment, does not have much reason to further fall below 24.250 – rather the opposite.

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Rates Spark: A lot not to like for bonds

Tough to see much progress on the US-Iran "talks" this side of the Trump-Xi summit. As we wait, Treasuries feel pain. EUR rates still closely follow the bear-flattening/bull-steepening dynamic alongside oil prices. It's not just oil as a driver for gilt yields; they remain pressured higher by worries politics could get fiscally more expansive



Euro rate curves continue to follow the oil price narrative

Another wait; takes us to the weekend. Another week, and US Treasury stress ramps

Given the importance of the US-China bilateral summit this week, the war with Iran is put on the back burner as a front-and-centre issue; at least for President Trump, probably. The messaging is clear – patience, and no agreement given what Iran came back with. In consequence, inflation expectations are re-ratcheting higher, and the US 10yr yield is back above 4.4%.

Assuming minimal progress and no lasting agreement for the rest of this week, the odds favour a trek in the direction of 4.5% for the 10yr yield. So far it's been steady and measured, and there, in fact, has been no material selling of Treasuries. Most of the yield movement has been a repricing in line with higher inflation risks. We run the risk of some outright selling, a more disorderly market.

We'll see CPI inflation on Tuesday, which will confirm headline inflation for April rounding up to 4% and core inflation rounding up toward 3%. Plus, there is every reason to expect that solidified from the subsequent May readings. With 10yr SOFR in the 4% area, it's only marginally above where headline inflation will print.

That tight real interest rate outcome keeps the pressure to the upside for nominal rates.

EUR curves still follow the oil price narrative, while UK yields face additional drivers

While oil prices rose and dragging rates higher alongside, there were also other narratives putting upward pressure to varying degrees across the different curves. In the eurozone, the bear flattening largely followed the accustomed inflation-driven curve dynamic. Markets nudged up the rate hike discount alongside oil prices to just over 70bp of tightening by year-end. The 10y Bund yield, meanwhile, rose a little further above the 3% mark but shows continued reluctance to venture too far from that mark.

The underperformer coming out of the weekend were sterling rates as UK politics have moved into focus following the local elections. 30y gilts rose as much as 9bp – compared to 3bp in Bunds – as calls for PM Starmer to resign are growing and markets eye the possibility of a successor following a fiscally more expansive route. The story is not just about the additional gilt issuance to absorb, but also about the Bank of England potentially having less room to ease over the coming years. This is shown by the fact that the 2Y rate rose almost in parallel with the 30Y. With gilt yields still relatively stable, we don't, however, see signs of threats to financial stability, as for example, during the Liz Truss episode in 2022.

Tuesday's events and market view

The data highlight of the day is the US CPI release for April. Expectations are for the headline rate to rise to 3.7% from 3.3% year-on-year with the core rate accelerating to 2.7% from 2.6% YoY. Other US releases are the NFIB small business optimism and the weekly ADP employment figures. Goolsbee and Williams are the only scheduled Fed speakers.

The only notable release out of the eurozone is the German ZEW sentiment indicator, which is expected to sink deeper into negative territory. From the ECB, Nagel and Dolenc are expected to speak.

Primary markets will be busier with Belgium having announced a 5y syndicated sale alongside the scheduled auction from Germany (€6bn in 2y bonds) and the Netherlands (€2-3bn in 10y bonds). In SSAs, the EU announced a mandate for a new 7y bond alongside a 30y tap.

The UK will auction 5y gilts (£4bn) and after the 3y notes auction on Monday the US Treasury follows up with the sale of a new 10y UST on Tuesday (US\$42bn).

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Why gold isn't acting like a safe haven right now

Gold has fallen around 12% since the Iran conflict began – a counterintuitive move for an asset widely held as a crisis hedge. The sell-off reflects the macro consequences of the shock rather than a breakdown in gold's safe-haven role. We remain constructive, with prices forecast to rise to \$5,000/oz by year-end



Gold has struggled since the Iran war began



Source: Refinitiv, ING Research

Why gold has sold off during the conflict

Gold's safe-haven appeal tends to perform best in a financial crisis or growth shock – when real yields fall and the dollar weakens. A supply-driven energy shock does the opposite. Higher oil prices push inflation up, keep central banks on hold and strengthen the dollar, all of which weigh on gold. High liquidity also makes it a source of funds when investors need to cover losses elsewhere.

We saw the same dynamic in 2022 after Russia invaded Ukraine. After an initial rally, gold came under pressure as the inflationary impact of higher energy prices pushed yields and the dollar higher. The same dynamic has played out here, only faster.

The macro headwind

The Federal Reserve left rates unchanged in April and the tone from Chair Jerome Powell was cautious. Inflation has re-accelerated since the war began and the case for near-term easing has weakened. Our US economist still expects easing in the second half of the year, but a prolonged energy shock could push that back. Real yields and the dollar remain the key constraints on gold.

Peace talks support a recovery, but progress has stalled

Gold has given back some of last week's gains, after President Trump rejected Iran's latest peace proposal as "totally unacceptable". The setback keeps the ceasefire timeline uncertain and inflation risks elevated – reinforcing the higher-for-longer rate narrative that has weighed on gold throughout the conflict. A durable resolution remains the key catalyst for a sustained gold recovery.

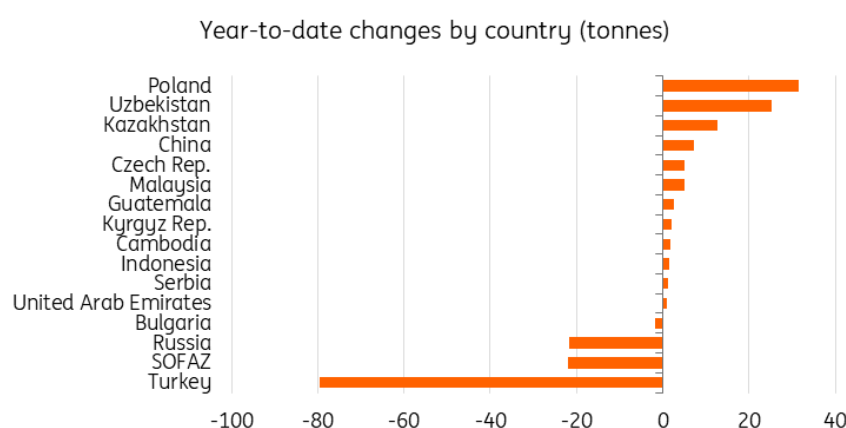
On the macro side, Friday's payrolls data showed employers added jobs for a second consecutive month in April and unemployment held steady at 4.3%. That gives the Fed little reason to rush on cuts, keeping yields and the dollar as near-term headwinds for gold. CPI data due Tuesday will be the next key test – a further inflation surprise would reinforce the picture. Powell's tenure ends this week, adding another layer of uncertainty around the Fed's independence.

Central banks remain a structural pillar

Central bank demand continues to underpin the market. China's central bank returned to buying in April, adding 8.1 tonnes – the most since December 2024 – extending its buying streak to 15 consecutive months and lifting total holdings to around 2,305 tonnes.

Overall, although central banks turned net sellers of gold in March, with net sales of around 30 tonnes, purchases in the first quarter still totalled 27 tonnes, according to data from the World Gold Council. Turkey led the selling, cutting holdings by 60 tonnes as part of efforts to support FX liquidity, taking its first quarter net sales to 79 tonnes. Buying remained concentrated, with Poland adding 11 tonnes in March and 31 tonnes year-to-date.

Poland remains the biggest central bank buyer of gold



Source: WGC, ING Research

In Q1, central bank demand was up 17% quarter-on-quarter, despite an uptick in sales, with Poland and Uzbekistan leading the buying. The National Bank of Poland was once again the largest purchaser, increasing its gold reserves by 31 tonnes over the quarter to 582 tonnes. Despite recent statements by Governor Adam Glapiński about the possibility of selling some of its gold, the central bank appears to remain focused on reaching its 700 tonne target.

Reported sales also increased, specifically from Turkey, Russia and Azerbaijan. The largest seller of gold in Q1 was Turkey, where official sector holdings fell around 70 tonnes (approximately 10% of total official sector holdings) based on available reported data. The bulk of the sales came in March, with the bank utilising an additional 80 tonnes via gold swaps for FX and liquidity purposes.

This points to a slower but still positive trend in official sector demand, with reserve diversification remaining supportive for gold over the medium term.

ETF flows starting to turn

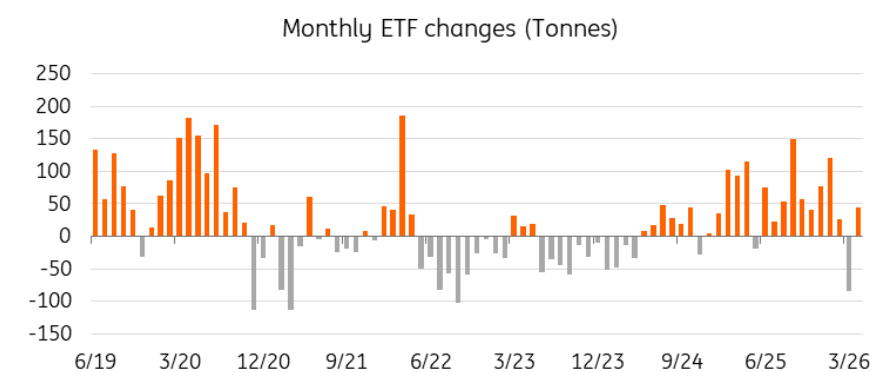
ETF outflows have weighed on prices since the conflict began, unwinding much of this year's previous inflows. Early signs suggest positioning is beginning to shift.

Global gold ETFs recorded roughly \$6.6bn of inflows in April, flipping from March outflows, according to World Gold Council data, with Europe leading the move, reflecting concerns that the

region would be more exposed to a Strait of Hormuz closure. Contributions from Asia and the US were around a third of Europe's over the month.

Holdings remain well below the November 2020 peak, leaving room for a significant rebuild. ETF flows track Fed expectations closely – Fed easing should be a catalyst for renewed inflows in the second half.

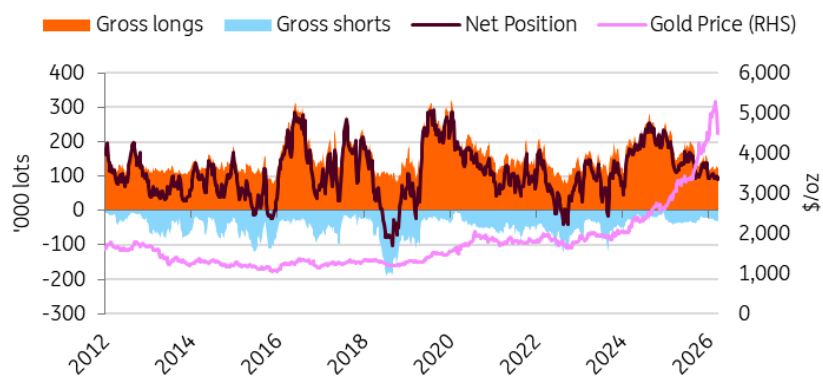
Flows flip positive in April



Source: WGC, ING Research

Meanwhile, COMEX managed money net longs continue to point to a constructive investor backdrop, though positioning has yet to reach crowded territory.

Gold positioning not yet stretched



Source: CFTC, ING Research

Near-term risks, long-term support

We remain constructive, but the stalling of peace talks adds near-term uncertainty. Trump's rejection of Iran's latest proposal keeps the ceasefire timeline unclear and inflation risks elevated, which limits the Fed's room to cut.

The path higher depends on energy prices easing, inflation cooling and the Fed cutting in the second half of the year. Central bank buying and recovering ETF flows provide additional support.

We now see prices rising to \$5,000/oz by year-end. The main downside risk is a breakdown in

peace talks that keeps energy prices elevated and the Fed on hold into year-end.

Gold's safe-haven role is not in question. However, recent months have shown that short-term price action can still be dominated by macro forces – particularly real yields, the dollar and expectations for Fed policy. Once those headwinds begin to ease, gold's underlying support should reassert itself.

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THINK Ahead: What markets are getting wrong on rate hikes

US stock markets are surging to new highs. Oil prices are certainly not back to their lows – and neither are interest rate expectations. One of those things surely can't be right, can it? This week, James Smith looks at what investors could be getting wrong about central bank policy, as the team builds up to another big week in global markets



Equities are surging to new highs even as oil and rate expectations remain elevated

What markets are getting wrong on rate hikes

One of many striking features of markets right now is the gap between equities, which have shrugged off their mid-war losses and are surging to new highs, and oil prices – and by extension central bank expectations – which remain well above pre-war levels.

It's hard to believe both are right. And when it comes to the way investors are thinking about central banks, I see four aspects that look particularly difficult to square with our own views here at ING.

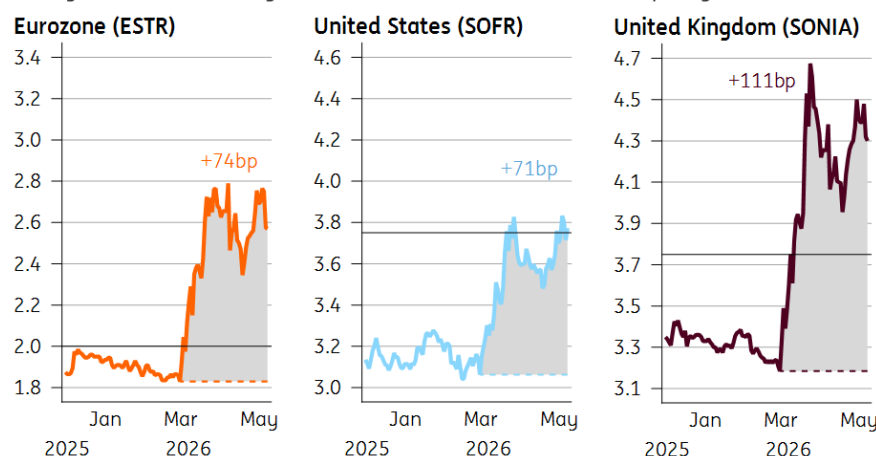
First, Fed rate hikes. Markets now think rates are more likely to go up than down, albeit marginally, after weeks of pricing cuts. The spread between US and eurozone interest rates has widened; the scale of repricing since the war began now looks identical in both regions.

That's a change. For several weeks, the working assumption was that Europe faced a much more severe inflation shock, warranting greater tightening than in the US.

How central bank expectations have changed

Implied one-month rate in one year (1Y1M swap)

Change since 27 February in brackets. Solid line shows current policy rate



Source: Macrobond, ING

Why the shift? Eurozone data has undershot expectations, while the US has held up better. The recovery in US equities weakens the case for near term cuts. And the Fed itself has made a concerted effort to talk up market rate expectations, with several officials keen to ditch the easing bias.

We're not so sure. James Knightley still thinks rate cut(s) are more likely than not before year end – and the disagreement hinges on how you view the US jobs market.

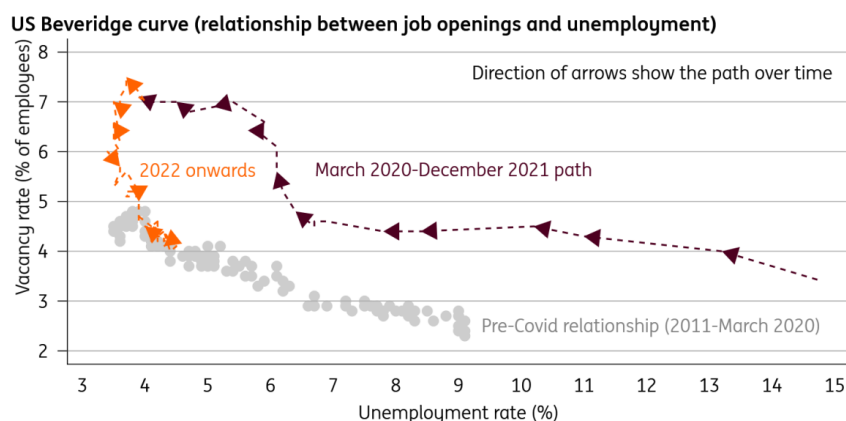
Fed officials increasingly point to collapsing net migration. In 2023, net inflows were 2.7 million. This year, they're projected at just 0.3 million, with a real risk that figure drops to zero or below. Combined with an ageing population, labour supply growth has effectively stalled. That means zero or even negative payroll numbers are potentially less of the red flag they once were. And bumper numbers [like today's](#), at a headline level at least, look all the better.

True. But with labour demand also low across various metrics, the jobs market is more vulnerable than it was three or four years ago.

For a long time, vacancies fell without unemployment rising: firms stopped hiring aggressively, but didn't cut staff. That relationship has now normalised. Any further fall in job openings is much more likely to push joblessness higher than it was two years ago.

And whatever growth remains is extraordinarily concentrated. Private health and social care – less than 20% of total employment – continues to account for a large portion of job creation.

The relationship between vacancies and unemployment has normalised



Source: Macrobond, ING

Second, the UK repricing looks strange. Interest rates are now seen more than a percentage point higher in a year's time than before the war - around 40bp more than the equivalent ECB repricing.

That partly reflects the experience of 2022, when Britain emerged with a bigger and more persistent inflation problem. The UK is often described as being particularly sensitive to energy shocks.

That's only half right.

Yes, Britain is among the most reliant on natural gas, which makes up around 32% of total energy consumption, compared with 20% in Germany and 15% in France. But this is not a gas crisis - at least not yet. Natural gas prices have remained far more contained than in 2022.

Look at net energy imports, and the UK actually scores better than much of Europe. Net all that out, and my UK inflation forecasts look virtually identical to our eurozone numbers.

Third, the Bank of England is less likely to deliver two rate hikes than the ECB. Given what I've just said, it seems strange that markets are pricing a similar amount of tightening for the remainder of this year in both economies.

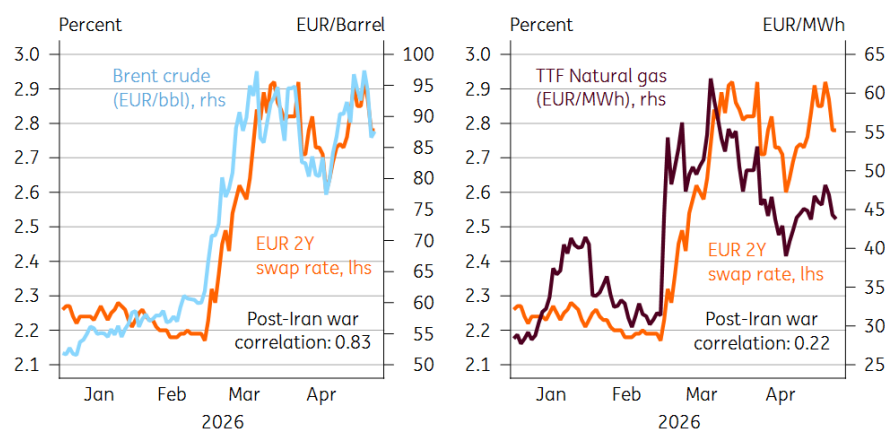
Not least because the message from both central banks last week was markedly different. The ECB seemed remarkably clear that it was on track to hike rates in June unless the situation dramatically changes. The BoE, by contrast, implied that simply not cutting rates - which it may well have done had the war not happened - already amounts to defacto tightening. The case for hiking above current levels was far less clear-cut.

True, here at ING we expect a one-and-done hike on both sides of the channel. But if you had to ask me if the ECB or BoE were more likely to hike, or tighten more in total, then notwithstanding UK political risks, it seems pretty clear that it's the former.

Finally, markets still appear to be overplaying the energy channel. Market expectations for the ECB and BoE are still trading very tightly with oil prices. It's something our Rates Strategy team has

repeatedly flagged; the correlation between two-year euro swap rates and Brent crude since the Iran war has stayed very high at 0.83. For natural gas, it's just 0.22.

Rate expectations have moved more with oil than natural gas



Source: Macrobond, ING

As I've already discussed, that distinction matters. In 2022, natural gas and its impact on electricity prices was arguably the central problem for Europe. In reality, I suspect central banks are going to be less sensitive to oil and more attentive to natural gas, relatively speaking, than those correlations currently imply.

And so long as natural gas prices stay low, central banks are less likely to hike rates as aggressively as markets have recently been expecting.

James Smith

THINK Ahead in developed markets

United States (James Knightley)

Inflation (Tue): A second consecutive 0.9% month-on-month print is expected at the headline level, attributable mainly to the surge in gasoline and diesel prices. Higher airline fares will also contribute, while a rebound in medical care and recreation, after soft March readings, risk a 0.3% MoM for core inflation reading, pushing the annual rate up to 2.7%. We continue to believe the headline surge is temporary given the lack of demand impetus that would risk broader, more persistent inflation.

Retail sales/Industrial production (Thur/Fri): The former is likely to be lifted by higher gasoline prices given that this is a nominal dollar figure. However, other components will be softer with auto sales a drag. Industrial production should post a modest rebound given ongoing strength in the ISM manufacturing index.

The other big event will be Jerome Powell's final day as Federal Reserve Chair with Kevin Warsh taking over on Friday 15 May.

THINK Ahead in EMEA

Poland (Adam Antoniak)

1Q26 flash GDP (Thu): Following a poor beginning to the year due to the cold winter, economic activity regained momentum in March. Still, we estimate that annual growth was only slightly slower than the 4.1% YoY posted in 4Q25 and amounted to 3.8% YoY, marking a solid start to 2026. The composition of GDP will be published at the beginning of June, but we expect private consumption to have remained solid, while fixed investment underperformed.

Final Apr CPI (Fri): The StatOffice should confirm that CPI inflation increased to 3.2% YoY in April from 3.0% YoY in March. According to our estimates, the increase was driven by an acceleration in core inflation. The key question is whether this stemmed from price rises in narrow components of the consumer basket – such as airfares and holiday packages – or reflects more broad based inflationary pressures, pointing to potential second round effects following the initial energy shock.

Mar BoP (Fri): We forecast the March current account deficit at €0.3bn, i.e. much narrower than the €1.1bn reported in March 2025. As a result, the 12 month rolling deficit most likely narrowed to 0.8% of GDP from 0.9% of GDP after February. Foreign trade in goods was almost balanced, amid an 8.1% YoY increase in euro denominated exports, while imports advanced by 3.2% YoY. External imbalances remain low.

Key events in developed markets next week

Country	Time Data/event	ING	Prev.
Monday 11 May			
US	1500 Apr Existing Home Sales (mn)	4.05	4.0
France	0745 Apr FX Reserves (EUR bn)	-	390.6
Norway	0700 Apr CPI (MoM%/YoY%)	-/-	0.2/3.6
Greece	1000 Mar Industrial Output (YoY%)	-	1.8
Tuesday 12 May			
US	1330 Apr Core CPI (MoM%/YoY%)	0.3/2.7	0.2/2.6
	1330 Apr CPI (MoM%/YoY%)	0.9/4.0	0.9/3.3
Germany	0700 Apr CPI Final (MoM%/YoY%)	0.6/2.9	0.6/2.9
	1000 May ZEW Economic Sentiment	-21	-17.2
Italy	0900 Mar Industrial Output (MoM%/YoY%)	-0.2/0.2	0.1/0.5
Wednesday 13 May			
US	1330 Apr PPI (MoM%/YoY%)	0.7/5.0	0.5/4
Eurozone	1000 Q1 GDP Flash Estimate (QoQ%/YoY%)	-/-	0.1/0.8
	1000 Mar Industrial Production (YoY%)	-	-0.6
France	0745 Apr CPI (MoM%/YoY%) Final	-/-	1/2.2
Sweden	0700 Apr CPIF (MoM%/YoY%)	-/-	-0.6/1.6
Netherlands	0530 Apr CPI NSA (MoM%/YoY%)	-/-	0.7/2.7
Thursday 14 May			
US	1330 Apr Retail Sales (MoM%/YoY%)	0.5	1.7
	1330 Initial Jobless Claims (000s)	205	200
UK	0700 Mar GDP Estimate (MoM%)	-0.1	0.5
	0700 Q1 GDP Prelim (QoQ%/YoY%)	0.6/0.9	0.1/1
Spain	0800 Apr CPI NSA (MoM%/YoY%)	-/-	0.4/3.2
Friday 15 May			
US	1415 Apr Industrial Production (MoM%/YoY%)	0.3	-0.5/0.7

Source: Refinitiv, ING

Key events in EMEA next week

Country	Time (BST)	Data/event	ING	Prev.
Monday 11 May				
Turkey	0800	Mar Retail Sales (MoM%/YoY%)	-/-	-0.2/15.6
Czech Rep	0800	Mar Retail Sales (MoM%/YoY%)	-/-	0/4.1
Tuesday 12 May				
Czech Rep	0900	Apr Unemployment Rate	-	5
Serbia	1100	Apr CPI (MoM%/YoY%)	-/-	0.5/2.8
Wednesday 13 May				
Turkey	0800	Mar Current Account Balance (USD bn)	-9.8	-7.5
Czech Rep	0800	Apr CPI (MoM%/YoY%) Final	-/-	0.6/1.9
Hungary	0730	Mar Industrial Output Final	-	-1.5
Romania	0700	Apr CPI (MoM%/YoY%)	-/-	0.8/9.9
	0700	Q1 GDP Flash (YoY%)	-	0.2
Thursday 14 May				
Poland	0830	Q1 GDP Flash (QoQ%/YoY%)	0.6/3.8	1.1/4.1
Friday 15 May				
Russia	1700	Apr CPI (MoM%/YoY%)	0.3/5.8	0.6/5.9
Turkey	0900	Apr Budget Balance (TRY bn)	-	-229.9
Poland	0830	Apr CPI (MoM%/YoY%)	-	0.6/3.2
	1300	Mar Current Account	-296	-990
Czech Rep	0900	Mar Current Account Balance (CZK bn)	-	17.4
Romania	1300	Apr Rate Decision	-	6.50
Kazakhstan	0900	Apr Industrial Production (YoY%)	-	4.2
	0900	Apr GDP (YoY%)	-	3
Croatia	1000	Apr CPI (YoY%) Final	-	4.8

Source: Refinitiv, ING

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Back-to-back US jobs gains, but hiring caution lingers

A second consecutive firm jobs report is a big win for the US economy, amidst trying circumstances. Nonetheless, other labour market data is not as firm and consumers certainly aren't recognising the strength of this data point. Real household disposable incomes are the key driver of spending and that continues to flatline



A second consecutive strong US jobs report but it will be challenging to maintain with ongoing geopolitical and economic uncertainties

115,000

 Job gains in April

Jobs beat expectations for a second month

The US jobs report has come in notably stronger than expected for a second consecutive month. Payrolls rose 115k in April versus the 65k expectation, while last month's initial print of 178k is now 185k. This is the first back-to-back monthly jobs increase since May of last year. Other key metrics are that the unemployment rate held steady at 4.3% with the details contradicting the payrolls'

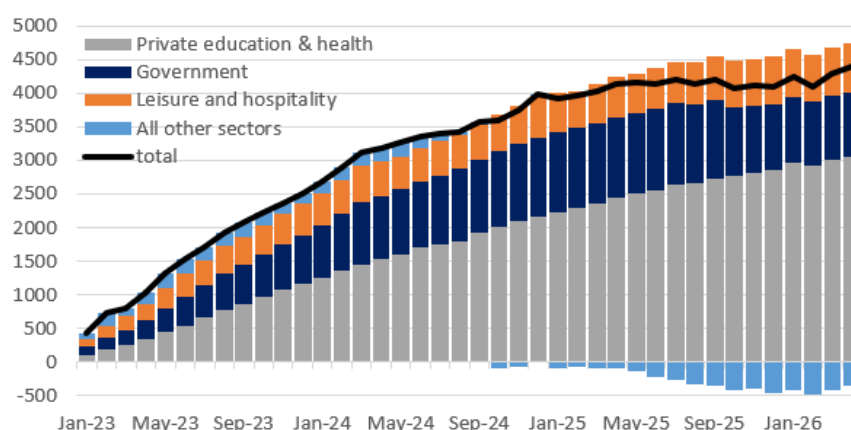
data, in that the household survey suggests employment fell 226k while the number of people declaring themselves unemployed rose 134k. Meanwhile, average hourly earnings rose 0.2%MoM/3.6%YoY, which was below the 0.3%/3.8% consensus prediction.

The details show private education and healthcare services added 46k jobs, while transportation and warehousing added 30k and retail contributed 22k, with leisure and hospitality employment increasing 14k. Manufacturing lost 2k though, with information dropping 13k and financial activities losing 11k. Over the past twelve months, the US has added 238k jobs, or just under 20k per month on average, most of which have come in the past two months.

Job gains remain concentrated in three sectors

The chart below shows the cumulative increase in employment since December 2022, with just three sectors accounting for all the jobs added over that time frame. Moreover, the past two payrolls numbers are at odds with the demand surveys we have seen from the ISM and are stronger than the data reported by ADP. The birth-deaths adjustment the Bureau of Labor Statistics uses to compensate for under-coverage of small firms did make a strong contribution of 391k on a non-seasonally adjusted basis. This was similar to last year, but much stronger than previous April periods, which perhaps raises the prospect of eventual downward revisions. For now, though, the overall tone of the report confirms the market pricing that stable interest rates are the likely path forward.

Cumulative employment growth since December 2022 with sectoral breakdown (000s)

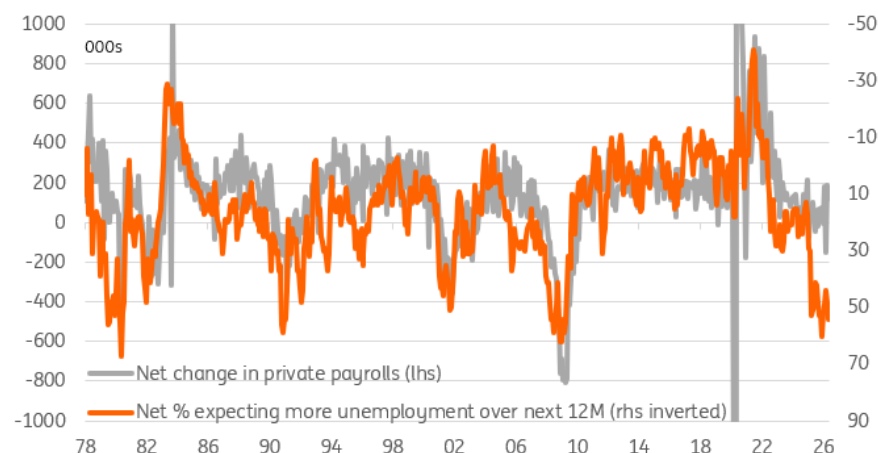


Source: Macrobond, ING

Consumers aren't feeling the improvement

Nonetheless, we are doubtful that these firmer March and April numbers mark the start of a sudden upward trend in job creation. It certainly isn't corroborated by private sector demand indicators, nor consumer confidence readings about the state of the jobs market – see the chart below where the University of Michigan measure of unemployment fears remains at highly concerning levels.

University of Michigan sentiment on unemployment risks remains bleak



Source: Macrobond, ING

In an environment of ongoing geopolitical, economic and market uncertainty, companies are going to be wary and we suspect we will revert back to that 20k per month trend again soon. We also see wage pressure remaining under downward pressure given there are fewer job openings (6.866mn) than there are unemployed Americans (7.373mn). As such, real household disposable income growth is likely to continue flat lining as higher gasoline prices keep inflation elevated. That is not a good story for consumer spending.

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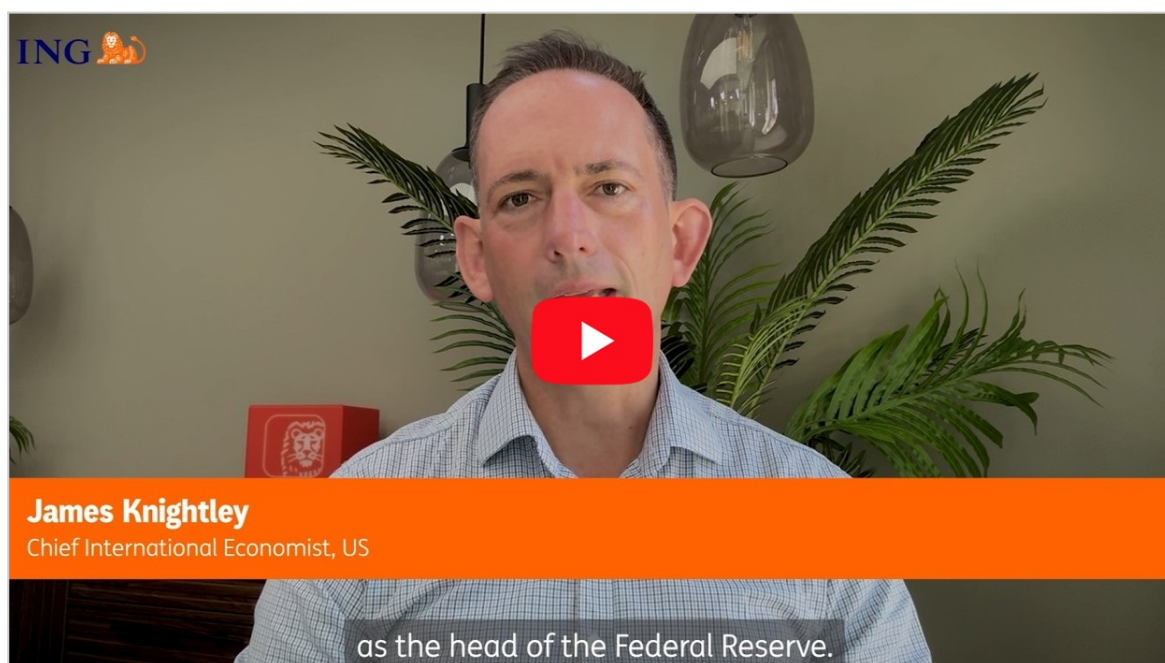
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Watch: How two-way risks are dividing the Fed's policy outlook

The Federal Reserve remains split on where exactly rates are headed. If an agreement is reached that allows the Strait of Hormuz to be reopened and gas and oil flows to resume, rate cuts are still more likely than hikes, says ING's James Knightley



How two-way risks are dividing the Fed's policy outlook

US inflation remains sticky and could rise again if energy prices jump, while growth and wage data are cooling. That mix is leaving the central bank on a more uncertain footing ahead of its incoming leadership transition

[Watch video](#)

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ECB moves closer to June hike

While the European Central Bank kept interest rates on hold at today's meeting, ECB president Christine Lagarde's comments at the press conference suggest that a June hike has come closer



At today's press conference, ECB president Lagarde made a hawkish shift with a rate-hike bias

As stagflationary pressures in the eurozone increase, the ECB has decided to keep interest rates on hold. In its policy statement, the ECB acknowledged rising inflationary pressures but also more downward risks to growth. ECB president Christine Lagarde's comments during the press conference stressed the intensified risks for both growth and inflation. Lagarde stressed that the current state of the eurozone economy had moved away from the March base case scenario, but she refused to indicate where the ECB saw the eurozone economy compared with the alternative scenarios from March.

The most remarkable comments during the press conference were the mentioning of a debate on a rate hike at today's meeting. While Lagarde stressed that the decision to keep rates on hold today had been taken unanimously, the mention of a rate hike debate clearly suggests that the ECB has moved closer to a rate hike at the June meeting.

All of this means that unless there is a quick end to the war in the Middle East, headline inflation continues to increase and knock-on effects on transportation, food prices and other parts of the supply chain continue, the ECB is clearly moving towards a rate hike in June.

Moving closer to June hike

The motivation or justification for such a rate hike was not entirely clear today. Unfortunately, no journalist actually asked why the ECB, or at least some ECB members, actually saw the need for a rate hike. In fact, while there have been many references to 2022 when assessing next steps for the ECB, the experience of 2011 might be a better starting point. Back in 2011, the ECB hiked interest rates – admittedly from slightly lower levels than currently – to tackle rising inflationary pressures. Only to find out that these rate hikes pushed the eurozone economy further into stagnation. As the ECB had underestimated the adverse effects of the sovereign debt crisis, the 2011 rate hikes were reversed quickly. Underestimating the adverse impact of a shock and focusing too much on rising inflation as a result of higher energy prices? The ECB has been there.

All in all, the main take-away from today's ECB meeting can probably be described as another hawkish shift, introducing a clear hiking bias to its wait-and-see stance. It's still hard to see that the ECB would really want to fight an exogenous supply shock at the cost of worsening an economic downturn. However, a rate hike, be it symbolic or even a policy mistake, at the June meeting has clearly become more likely today.

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Why UK bond yields could rise further on a deeper political crisis

Britain's local elections are a potential market flashpoint. Minimal political risk is priced, even as bond yields hit post 2008 highs of 5%. Borrowing costs could initially climb if the political situation worsens, but a leadership change need not materially alter the fiscal or Bank of England outlook



UK Prime Minister Keir Starmer is in a fight for political survival

Local elections: What's happening and why it matters

Britain's local elections come at a particularly sensitive moment for UK financial markets. Government bond – gilt – yields have just risen above 5% for the first time since 2008, a time when the economy was growing significantly faster than it is today. Much of the latest spike is down to inflation, but the politics can't be ignored. Prime Minister Keir Starmer is in a fight for political survival and a bad election night on 7 May could prove fatal.

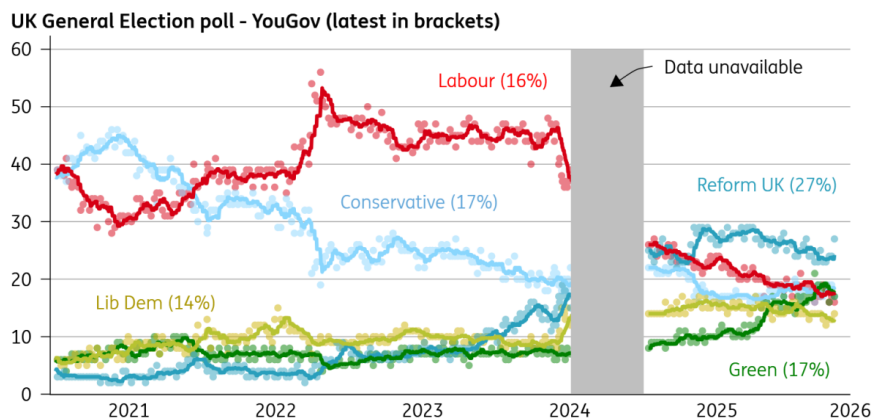
Up for grabs are 5013 local council seats – a little over a quarter of Great Britain's total – plus the Scottish and Welsh parliaments. Starmer's Labour Party looks set to lose up to 90% of the 2268 of its council seats up for election, according to some [predictions](#).

The scale of the defeat will be key. But so too is what drives it.

We know that Nigel Farage's Reform UK is likely to be the main beneficiary of May's elections. The party is running between 25-30% in national polls, up from 15% at the 2024 election. Much of that gain has come at the expense of the Conservative Party, but Reform's rise still poses an issue for Labour.

In Britain's First Past the Post electoral system, general elections are typically won or lost depending on whether the left or the right is more divided. And Reform UK's increasing dominance of the political right comes as the left is increasingly split.

The rise of the Green Party is a bigger issue for Labour than Reform UK



Source: YouGov

Solid line is the one month moving average

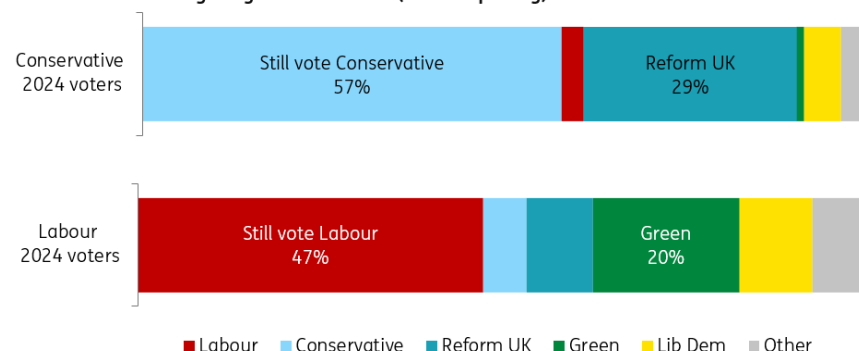
Labour, the Lib Dems and the Green Party are all polling between 14-17% nationally. That's a collapse from 34% at the last election for Labour, but crucially a surge for the Greens, whose share has doubled from 7% in June 2024. If a general election took place tomorrow, Reform would be much more likely to command a majority in Parliament.

To illustrate the point, at 14% of the national vote, Reform won just five seats at the 2024 election. At 24%, that would surge to 188 seats; at 31%, it's 335, according to Multi-level Regression and Post-stratification (MRP) polling by Electoral Calculus in [January](#) and [April](#) of this year. 326 seats are needed for an outright majority.

Britain isn't on the brink of a general election. The next vote isn't until 2029. But Labour's fortunes in three years' time rely on stemming the tide of votes to the Greens and other left-wing parties. A big defeat at the local elections would inevitably focus minds within Labour on what it needs to do to win back support. Polymarket puts a 67% chance on Starmer leaving office by year-end.

20% of Labour 2024 voters would now vote Green

Who 2024 voters say they'll vote for now (YouGov polling)



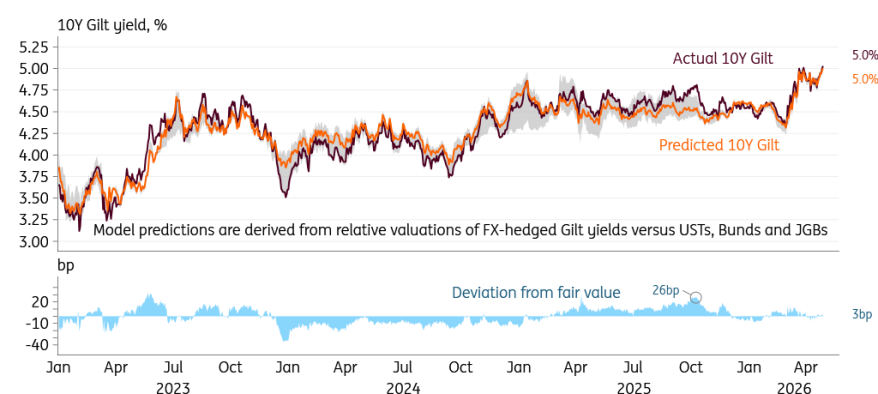
Source: YouGov

How bad would a leadership contest be for markets?

Gilts are already under scrutiny due to inflation risks, and adding political uncertainty to the mix could further push (global) investors to look elsewhere. Whilst we've seen some swings in gilt yields on days with political headlines, we estimate the risk premium on 10Y gilts is still limited. If the situation were to escalate or a leadership contest were to be triggered, the 10Y yield could easily rise another 10-20bp, which would be in line with the nervousness seen in markets prior to the budget announcement last year.

The chain of logic among investors looks like this: a new Labour leader and prime minister would likely mean a new chancellor. A new chancellor, under pressure to take the party towards the left to counter the threat posed by the Green Party, might be more pro-spending. That potentially means new, looser fiscal rules. And new fiscal rules would likely mean more borrowing.

There's virtually no risk premium in 10-year gilts



Source: ING, Macrobond

Source: Macrobond, ING

But the reality might be more nuanced. The infamous 2022 “mini budget”, which sparked a sharp though relatively short-lived spike in yields – and mortgage rates – is well etched into the political memory in Westminster. No politician wants to risk triggering a re-run.

Sure, leadership hopefuls may criticise the Office for Budget Responsibility, the independent arbiter

of Britain's fiscal rules. Angela Rayner, the betting markets' favourite to become the next Labour leader, has said the OBR [fails to account](#) for the wider benefits of public investment.

But that is not the same thing as proposing a new set of fiscal rules. Leadership contenders will be under heavy pressure to rule out changes.

Remember, too, that a leadership contest can only be triggered if 20% of Labour MPs (that's 81) back a single rival candidate. Labour lawmakers might ultimately agree on the need for a new leader, but will they back the same horse?

It might not come to that. Leaders often go when their cabinet turns against them; we saw that with the departure of Boris Johnson in 2022. Nevertheless, a successful leadership candidate will need to command support from across the party. And that might require them to pick a chancellor from a different faction.

A leadership contender on the left of the party might pick someone from its right to head up the Treasury as the price of gaining sufficient support. Doing so might also help calm investor nerves about an impending surge in borrowing.

There also don't appear to be loud calls from within the party for big fiscal loosening right now. A [recent speech](#) by two Labour MPs, representing opposite wings of the party, pitched a new economic agenda focused on supply-side policies like tax reform, over big increases in public spending. There haven't so far been widespread calls for a large universal energy support package, either.

Political noise doesn't necessarily boost chances of BoE hikes

The bottom line is that the near-term fiscal trajectory – borrowing over the next one or two years – is unlikely to look wildly different whoever is in charge. And notwithstanding the war in Iran, the fiscal backdrop had been looking brighter; the structural deficit was – and still could – fall this year on the ongoing freeze in tax thresholds.

That matters because it suggests domestic politics is unlikely to have a large bearing on Bank of England policy. And even if it does, it's unlikely the next budget will come earlier than currently planned in late autumn. The Bank can't act on fiscal policy until it is formally announced. The overwhelming focus will remain on the energy crisis and its impact on inflation.

Longer-term, the story becomes more problematic for markets – but again, we suspect this is true whether it is Starmer or someone else in Downing Street. The main fiscal rule – to bring day-to-day spending into balance with tax revenues within three years – is currently met on paper. But only by promising sizeable tax rises, many of which aren't scheduled to kick in until 2029. Real per-capita spending on public services is also slated to fall in that year – a year, don't forget, when the next general election is likely to fall.

In an environment where Labour is struggling in the polls, there will be a lot of pressure to either cancel or offset those plans. And that's before considering the likelihood that defence spending plans will need to be ramped up.

FX markets price little UK election risk

In FX markets, it feels like there is fatigue over the event risk of these local elections. Sterling

bears have been talking about 7 May for a couple of months now, but these risks have been swamped by developments in the Middle East. Looking at the FX options market, the volatility term curve shows just a minor kink around the local election date. And for FX options expiring around the day of the event risk, a 30 pip range is priced for EUR/GBP compared to 14 pips on a 'normal' day.

As above then, a fresh bout of risk premia coming through the fiscal side could demand some temporary weakening in the pound. Until, however, energy markets calm down, it is hard to see EUR/GBP breaking clear of swap differentials. These have narrowed in sterling's favour based on the view that the BoE is going to react more aggressively (tighten) than the ECB to higher energy prices. Until the BoE can forcefully get across the view that it is going to hike less than the ECB, it seems as though EUR/GBP can linger a lot longer in the middle of a 0.86-0.88 range than most – including us – had been expecting.

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